

Telluride Facing Probation from the National Flood Insurance Program

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DENVER – Telluride, Colorado will be placed on probationary status by the National Flood Insurance Program (NFIP) on March 9, 2024, due to deficiencies and violations with the town's floodplain management program unless the community can either remediate all outstanding violations or prepare a compliance plan approved by FEMA.

Telluride is an NFIP-participating community with 396 flood insurance policies in force with a total coverage of more than \$95,798,000 as of October 30, 2023.

When a community joins the NFIP, it voluntarily adopts local floodplain management regulations to meet NFIP minimum floodplain management criteria. Placement on probation is a formal notice to the community that the local floodplain management program is not compliant with the criteria of the NFIP and is the first step in the process to suspend the community's eligibility to participate in the NFIP.

Unless Telluride either remediates the violations or completes a compliance plan approved by FEMA, the probation period will begin on March 9, 2024, and be in effect for one year.

The violations in Telluride are a result of the community not administering the Telluride Land Use Code correctly, resulting in structures being non-compliant with the minimum NFIP requirements.

During the probationary period, flood insurance coverage will remain available within Telluride. However, a \$50 surcharge will be added to the premium of each new and renewed flood insurance policy sold within the community for at least one year from the effective date of probation. Each flood insurance policyholder in the community will receive a notice about the impending probation and the \$50 surcharge.



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Page 1 of 2

Failure to correct identified deficiencies and to improve the floodplain management program by Telluride during the probationary period can lead to suspension from the NFIP. Flood insurance from the NFIP is no longer available for purchase for communities on suspension. If a flood disaster occurs in a suspended community, most types of federal disaster assistance would not be available. This includes the acquisition, construction, or repair of insurable structures within the Special Flood Hazard Area as well as federal assistance to individuals and households for housing and personal property.

FEMA will continue to provide technical assistance and guidance to the community to resolve program deficiencies and correct the violations to help ensure that Telluride residents and property owners continue to have flood insurance coverage available.

